



Google / Alphabet

CLV Prediction & Cohort Analysis

H1 2026 Performance Intelligence

Period: January – June 2026 **Currency:** USD millions **Data:** Modeled & Alphabet Q1 2026 anchored

Key sources: Alphabet Q1 2026 Earnings Release · SEC Exhibit 99.1 · 2025 Annual Report (10-K) · Interbrand 2025

Total H1 Revenue

\$224,000mm

Contribution Margin

45.6%

Predicted H2 CLV

\$285,000mm

Blended Churn Risk

13.5%

02 — Context & Data Architecture

Sources · Scope · Methodology

Data Scope

- 2,160 operational rows across 6 months
- 60 branch/channel/country combinations
- 6 product categories · 10 countries · 4 channels
- Jan–Mar source-anchored; Apr–Jun run-rate modeled

Official Sources

- Alphabet Q1 2026 Earnings Release
- SEC Exhibit 99.1 (EDGAR filing)
- Alphabet 2025 Annual Report (10-K)
- Interbrand Best Global Brands 2025

CLV Methodology

- Gordon Growth CLV: $(\text{Profit} \times \text{Retention}) / (1 + \text{WACC} - \text{Retention})$
- WACC: 10% (industry proxy)
- Churn derived from Service_Rating NPS & Issue Rate
- CAC estimated as % of annualised revenue by channel

03 — CLV Modelling Insights

INSIGHT 1

Search dominates lifetime value

Search & Other Ads generates \$123.5bn H1 revenue at a 62% contribution margin — the highest in the portfolio. With only 8% churn, its annualised CLV exceeds \$852bn, making it the primary value engine. Every 1% reduction in churn unlocks ~\$10bn in additional predicted CLV.

\$852bn CLV

Predicted Lifetime Value

INSIGHT 2

YouTube & Network Ads: churn-margin tension

YouTube Ads (18% churn, 35% margin) and Network Ads (22% churn, 24% margin) present the clearest churn-margin gap. NPS scores of 37–40 signal dissatisfaction risk. A 5pp NPS improvement here could shift churn from 18%→13%, increasing CLV by ~\$12bn across both segments.

22% churn

Network Ads – highest risk

INSIGHT 3

Cloud: high CAC, strategic CLV upside

Google Cloud (\$33.7bn revenue, 20% margin) carries the highest CAC ratio at 2.2x, reflecting enterprise sales cycles. Its 12% churn is low but the margin ceiling limits CLV velocity. Revenue grew 19% Jan→Jun, and AI infrastructure demand signals accelerated H2 recovery of CAC investment.

+19% MoM

Cloud Revenue Growth Jan→Jun

04 — Retention Strategy

Segment	Service Status	Churn Risk	NPS Target	Priority Action
Search & Other Ads	Strong	8%	NPS 50+	Maintain SLA · expand Commerce Search
YouTube Ads	Stable	18%	NPS 45+	Creator tools · brand safety investment
Network Ads	Stable	22%	NPS 42+	Publisher support · AdSense SLA
Subs / Plat / Dev	Stable	20%	NPS 43+	Pixel/Nest loyalty programme
Google Cloud	Stable	12%	NPS 44+	Enterprise CSM · 99.9% SLA commitment
Other Bets	Improve	100%	N/A	Monetisation pivot or exit review

05 — Data-Driven Recommendations

R1

Protect the Search Engine CLV Moat

Invest in Search quality, AI-enhanced results, and Commerce Search expansion. Even a 1pp churn reduction adds ~\$10bn in predicted CLV.

CLV +\$10bn per 1pp churn ↓

🕒 Immediate / Ongoing

R2

Reduce YouTube & Network Churn via NPS Programme

Launch structured NPS improvement initiative: creator monetisation tools, brand safety features, AdSense publisher SLA dashboard. Target NPS 45+ by H2 2026.

~\$12bn CLV recovery

🕒 Q3 2026

R3

Accelerate Cloud CAC Payback via Enterprise CSM

Assign dedicated Customer Success Managers for enterprise GCP accounts. Structured onboarding reduces CAC payback from 18-month to 12-month cycle.

CAC payback -33%

🕒 Q3–Q4 2026

R4

Other Bets: Portfolio Decision Required

Segment is consuming \$2.2bn revenue with negative contribution margin (−40%). Board-level decision needed: accelerate Waymo monetisation or strategic exit for moonshot assets.

Eliminate \$890mm annual loss

🕒 Board Q3 2026

R5

Deploy Monthly CLV Monitoring Dashboard

Operationalise this CLV prediction model as a live monthly reporting cadence. Integrate Service_Rating NPS trends into executive scorecards to catch churn leading indicators early.

Systematic risk detection

🕒 Q4 2026